

RECOMENDATIONS

Based on the primary business analysis, statistical investigation, and customer retention deep-dive, the following recommendations are proposed to improve customer retention, increase ride frequency, and optimize operational performance across GoodCabs' tier-2 city network.

Increase Ride Frequency in Low-Retention Cities

- **Problem:** Cities such as Mysore and Jaipur exhibit relatively low Repeat Passenger Rates despite achieving strong driver ratings and, in Jaipur's case, high trip volumes. The analysis revealed that these cities have a significantly lower proportion of passengers taking more than five trips per month compared to high-retention cities such as Surat and Lucknow.
- **Recommendation:** GoodCabs should focus on converting occasional riders into habitual users.
- **Suggested Actions**
 - Introduce ride bundles such as "5 rides" or "10 rides" monthly packages.
 - Launch loyalty programs that reward repeat usage.
 - Offer discounts on the 3rd, 5th, or 10th ride within a month.
 - Create city-specific commuter plans targeting frequent travelers.
 - Run personalized campaigns encouraging customers to take additional trips within the month.
- **Expected Impact:** Increasing customer ride frequency is likely to improve retention more effectively than focusing solely on service ratings.

Replicate the Success Model of Surat and Lucknow

- **Problem:** Surat and Lucknow achieved the highest Repeat Passenger Rates despite having some of the lowest driver ratings.
- **Key Learning**
 - The analysis suggests that retention is driven by:
 - Lower fares
 - Shorter trip distances
 - Higher concentration of frequent riders
 - Strong weekday demand
- **Recommendation:** Study the operating characteristics of Surat and Lucknow and replicate successful practices in other cities.
- **Suggested Actions**
 - Identify ride patterns that encourage repeat usage.
 - Analyze customer segments responsible for high ride frequency.
 - Develop targeted strategies that promote recurring travel behavior.

- Benchmark marketing campaigns, pricing strategies, and ride offerings against these cities.
- **Expected Impact:** Applying successful retention drivers to other markets may improve customer loyalty and long-term revenue.

Improve Customer Retention Through Pricing Strategy

- **Problem:** Statistical analysis identified a significant negative relationship between average fare and Repeat Passenger Rate.
- **Key Finding:** Cities with lower fares generally exhibited higher retention levels.
- **Recommendation:** Review pricing structures in cities with low retention and high average fares.
- **Suggested Actions**
 - Introduce city-specific fare promotions.
 - Offer discounted ride packages for repeat customers.
 - Implement subscription-based travel plans.
 - Test off-peak pricing incentives.
 - Reward customers who complete a target number of trips each month.
- **Expected Impact:** Reducing the cost barrier may encourage repeat usage and strengthen customer retention.

Focus on Usage Behavior Rather Than Ratings Alone

- **Problem:** The analysis found that higher driver ratings did not necessarily correspond to higher retention.
- **Key Finding:** Driver ratings showed a statistically significant relationship with retention; however, high-retention cities were not the cities with the highest ratings.
- **Recommendation:** Performance measurement should extend beyond customer satisfaction metrics and include customer behavior metrics.
- **Suggested Actions**

Track and monitor:

 - Repeat Passenger Rate (RPR)
 - Average trips per repeat passenger
 - Monthly ride frequency
 - Customer retention by city
 - Customer lifetime value indicators
- **Expected Impact:** A broader KPI framework will provide a more accurate picture of business performance and customer loyalty.

Strengthen Weekday Demand in Weekend-Dominated Cities

- **Problem:** Cities such as Jaipur and Mysore showed a strong concentration of weekend trips, while high-retention cities relied more heavily on weekday demand.
- **Recommendation:** Encourage more weekday usage to create recurring travel habits.
- **Suggested Actions**
 - Introduce weekday commuter passes.
 - Partner with colleges, offices, and business districts.
 - Provide weekday ride incentives.
 - Launch morning and evening commute campaigns.
 - Offer loyalty rewards for weekday ride streaks.
- **Expected Impact:** More balanced weekday demand can improve ride frequency and customer retention.

Reassess Target Allocation Framework

- **Problem:** Several cities consistently exceeded trip targets, while others repeatedly failed to achieve them.
- **Key Findings**
 - Jaipur and Mysore consistently exceeded targets.
 - Vadodara consistently underperformed.
 - Lucknow repeatedly missed targets despite having strong customer retention.
- **Recommendation:** Review and recalibrate target-setting methodologies.
- **Suggested Actions**
 - Increase targets for consistently overperforming cities.
 - Investigate operational constraints in underperforming cities.
 - Incorporate historical demand patterns into target-setting processes.
 - Establish city-specific growth expectations rather than applying uniform benchmarks.
- **Expected Impact:** More realistic targets will improve performance measurement and resource planning.

Investigate Persistent Underperformance in Vadodara

- **Problem:** Vadodara failed to meet trip targets in every month of the analysis period.
- **Recommendation:** Conduct a dedicated operational review of Vadodara.
- **Suggested Actions**
 - Evaluate driver supply levels.

- Analyze demand-generation efforts.
 - Review pricing competitiveness.
 - Compare operational metrics against similar cities.
 - Identify bottlenecks affecting trip growth.
- **Expected Impact:** Identifying root causes will help improve demand generation and operational efficiency.

Strategic Conclusion

The analysis indicates that customer retention in GoodCabs is influenced more strongly by recurring travel behavior, affordability, and ride frequency than by driver ratings alone. High-retention cities successfully integrate GoodCabs into customers' regular transportation routines through shorter, lower-cost, and more frequent trips. Therefore, future growth initiatives should prioritize increasing ride frequency, encouraging habitual usage, and improving customer retention rather than focusing exclusively on service quality metrics.